



Not-for-profit

Some organizations are run not for the benefit of shareholders, but for the benefit of their members or an external community or charity. Unlike conventional businesses, profit is not the goal.

How it works

Organizations that do not intend to generate profit for their shareholders, are self-governing, and committed to a common cause come under the broad umbrella of not-primarily-for profit, not-for-profit, and nonprofit entities. On this spectrum, cooperatives may disburse profits to members, but charities are strictly nonprofit. Although their goals differ, not-for-profits have a similar type of company status and structure to businesses.

9.2%
of all wages and salaries
paid in the US come from
the not-for-profit sector

The not-for-profit universe

There are many forms of not-for-profit organization (NPO). Joel L. Fleishman, Professor of Public Policy and Law at Duke University, has characterized the not-for-profit sector as a universe that embraces all NPOs, whatever their mission.

Private foundation

Similar to a charity but funded by one source, not the public; generates revenue from investments; makes grants to other charitable bodies

Cooperative

Owned by members; can benefit from profit; clear ethos of pursuing common economic, social, or cultural goals; one member, one vote

Fraternal organization

Based on common interests or beliefs such as social or academic interest or a benevolent cause; Freemasons and college fraternities are both examples

THRIVING SECTOR

Despite being NPOs, many cooperatives and mutuals have a sizable annual turnover (gross revenue transacted).

➤ **Japan** Zen Noh cooperative: \$53 billion

➤ **France** Crédit Agricole Group of cooperatives and mutuals: \$32 billion

➤ **US** Nationwide Mutual Assurance: \$23 billion

➤ **Germany** Edeka Zentrale AG cooperative: \$16 billion

➤ **UK** Co-operative Group: \$16 billion

➤ **Spain** Mondragon cooperative: \$14 billion